

Employing in Sweden

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts referencing the applicable kollektivavtal (collective agreement)
- **Monthly payroll** — salary payments in SEK, itemised payslips
- **Tax withholding** — municipal and state income tax withheld and remitted to Skatteverket
- **Arbetsgivaravgifter** — the full employer social contribution (no separate employee-side deduction)
- **Leave and termination management** — notice periods, entitlements and LAS-compliant termination guidance

Employment Conditions

Contracts & Probation

Sweden has no statutory minimum wage — pay floors, notice periods, pensions and overtime are set almost entirely by kollektivavtal (collective agreements), which cover roughly 90% of the workforce even without a union requirement. The Employment Protection Act (LAS) governs dismissal.

Item	Detail	Legal Basis
No statutory minimum wage	Set by the applicable kollektivavtal; ~90% of workers are covered	Collective bargaining
Probation period	Maximum 6 months	Employment Protection Act (LAS)
Termination during probation	Either party may end without cause, with 2 weeks' notice	Employment Protection Act (LAS)

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	40 hours/week	Working Hours Act
Overtime cap	48 hours over 4 weeks (or 50 hours/calendar month), max 200 hrs/year	Working Hours Act
Overtime premium	Not statutory — set by kollektivavtal	Collective bargaining

Employer Contributions (Arbetsgivaravgifter, 2026)

Measure	Rate	Notes
Standard employer contribution	31.42% of gross salary and benefits	No income ceiling — applies to every krona of salary, bonuses and taxable benefits
Reduced rate (compensation ≤SEK 25,000/month)	20.81%	Pension contribution plus half of other contributions
Youth discount (ages 19–23, Apr 2026–Sep 2027)	20.81% on salary up to SEK 25,000/month	Temporary measure
Employees 67+	10.21% (pension contribution only, from 1 Jan 2026)	Zero contribution for employees born 1937 or earlier

Unlike most European countries, Swedish employees do not have a separate social security deduction from payroll — the entire 31.42% is an employer cost, and employees pay income tax only.

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	25 days/year minimum	Employer	Annual Leave Act; many kollektivavtal offer more
Parental Leave	480 days total, shared between parents	Försäkringskassan (Social Insurance Agency)	390 days at ~80% of salary (capped), 90 days at a flat low rate; 90 days reserved per parent, non-transferable
Sick Pay	Employer pays days 2–14 (80% of salary, day 1 is a qualifying day at no pay), Försäkringskassan thereafter	Employer (days 2–14) + Social Insurance Agency	No medical certificate required for the first 7 days

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Arbetsgivaravgifter (31.42%, no ceiling)	\$942.60	31.42%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,542.60	~151.4%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. Arbetsgivaravgifter applies to every krona with no ceiling, so this percentage does not shrink at higher salaries the way capped systems do. Occupational pension contributions under the applicable kollektivavtal are typically an additional cost on top and are excluded from this example. There is no separate employee social security deduction — employees pay income tax only.

Income Tax (2026)

Swedish employees pay municipal income tax (varies by municipality, commonly ~32% average) plus state income tax on income above a threshold.

Annual Income (SEK)	Additional Rate
Up to SEK 660,400	Municipal tax only (~32% average, varies by municipality)
Above SEK 660,400	+20% state income tax on the excess

Termination & Separation

Notice Periods (Employment Protection Act, LAS)

Length of Service	Employer's Notice
Under 2 years	1 month
2 - 4 years	2 months
4 - 6 years	3 months
6 - 8 years	4 months
8 - 10 years	5 months
10+ years	6 months

Sweden has no general statutory redundancy/severance payment. Redundancy is instead managed through notice pay plus, in most kollektivavtal-covered workplaces, supplementary schemes (e.g. TRR for white-collar employees, TSL for blue-collar) that provide career transition support and top-up income protection.

★ HERO TIP

Because Sweden has no statutory severance, employers sometimes assume redundancy is inexpensive — but LAS applies strict "last in, first out" (turordning) selection rules for redundancies, and getting the selection order wrong is a common and costly compliance failure. Always route Swedish redundancies through your HeroForce EOR to confirm the correct selection process before issuing notice.

Public Holidays 2026

Sweden observes around 11-13 public holidays (röda dagar) in 2026, blending fixed civic dates with moveable Christian holidays.

Date	Holiday	Type
1 January	New Year's Day	National
6 January	Epiphany	National
3 April	Good Friday	National
5-6 April	Easter Sunday and Monday	National
1 May	Labour Day	National
14 May	Ascension Day	National
6 June	National Day of Sweden	National
~19-20 June	Midsummer Eve and Day (Friday/Saturday nearest 24 June)	National — one of Sweden's most significant holidays
~31 October	All Saints' Day (Saturday nearest 1 November)	National
25-26 December	Christmas Day and 2nd Day of Christmas	National

Ready to hire in Sweden?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Sweden employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).